INTRODUCTION TO PRACTICE MANAGEMENT 2019

I. INTRODUCTION

The syllabus is compiled by practitioners with experience in practice.
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Purpose

This material is not offered as a manual or handbook on the topic.

It is intended as a supplementary tool for purpose of the training at L.E.A.D's Practical Legal Training School and Courses.

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I. INTRODUCTION

1. PREAMBLE

Why Introduction to Practice Management as a module in this course?

The practice of law creates a value chain. The development of the principal of a value chain is explained by Schafer and Meredith (1998:19):

"In the 1980's Michael Porter, a professor at the Harvard Business School, developed the concept of a value chain as a way to improve the coordination amongst various functional groups."

The value chain approach emphasised the organisation as a system of the interdependent activities that create value for the customer. In effect, organisational groups viewing their "internal" customers accomplish this. Thus, Porter's value chain presented a new view of management depicting the organisation as a system of value-creating vertical processes rather than a collection of independent activities.

In order to understand Porters concept of value chain, you are referred to the definition as quoted in The Competitive Advantage of Nations (1990:40):

"Competitive advantage grows out of the ways firms organize and perform discrete activities. The operations of any firm can be divided into a series of activities such as sales people making sales calls, service technicians performing repairs, scientists in the laboratory designing products of processes and treasures raising capital. Firms create value for buyers through performing these activities. The ultimate value a firm creates is measured by the amount buyers are willing to pay for its products or service. A firm is profitable if this value exceeds the collective cost of performing all of the required activities. Firms gain competitive advantage from conceiving of new ways to conduct activities, employing new procedures, new technologies, or different inputs. A firm's value chain is interdependent systems or network of activities, connected by linkages. Linkages occur when the way in which one activity is performed affects the cost or effectiveness of other activities. Linkages also require activities to be co-ordinated.

Gaining competitive advantage requires that a firm's value chain is managed as a system rather than a collection of separate parts.… Competitive advantage is a function of either comparable buyer value more efficiently than competitors (low cost), or performing activities at comparable cost but in unique ways that create more buyer value than competitors and hence, command a premium price."

Within the legal profession a value chain can be defined as: A number of causal integrated processes or steps resulting in goods and/or services.

In order to align this definition with Porter's definition of a value chain, it is implied that the end result should create a competitive advantage for a particular law practice.

From a strategically point of view the value chain implies:

"Operational effectiveness is not strategy . . . The essence of strategy is choosing to perform activities differently than rivals do" (Porter 1996:24)

From the aforementioned it follows that a legal practice run by proper business principals and procedures will definitely have a competitive advantage above its rivals.

2. THE ROLE OF MANAGEMENT

It is essential for law graduates to appreciate the role of management in legal practice.

L.E.A.D has identified a range of topics that are of the utmost importance to the candidate attorney who is success-orientated. It makes no difference whether the candidate works within a highly profit-orientated environment, or a practice that deals extensively with legal aid work.

For example, a growing litigation practice requires more than just a thorough knowledge of substantive law, evidence and procedure, drafting and presentation skills.

It requires a strong will to manage the particular business, and the ability to ask the following questions of oneself: -

- What does management mean?
- What is the nature of my business?
- What personality's traits should I possess?
- Where will I practice?
- What will the business format of my practice be?
- How will I fund my practice?
- How should I calculate my fees?
- How should I set up a filing system, a diary system and determine my technological requirements?
- How should I control debtors? Expenditure? Cash flow?
- Whom should I employ?
- What insurance cover do I need?
- What are my risks and how do I avoid liability?
- Where do I want to be in 12 months, 3 years, 5 years, and so on?

2.1 DEFINITION OF MANAGEMENT

Management is a process or a range of activities that provide the necessary direction to a firm's resources, in order to achieve the goals of the firm within the firm's environment in the most productive way.

2.2 FOUR FUNDAMENTAL MANAGEMENT ACTIONS CONSTITUTE THE MANAGEMENT PROCESS

2.2.1 PLANNING

The management action that determines the firm's existence and goals. Planning includes identifying ways and means of how to achieve these goals, and which resources are required to obtain these goals.

- What is my business?
- Where am I going?

2.2.2 ORGANISING

A framework might be established which indicates how human and physical resources will be applied in accomplishing the goals.

- Who will do what, and when?

2.2.3 LEADING

Refers to instructing and motivating the firm's human resources in such a manner that actions remain focussed on the goals.

- How to do right things right?

The roles of leadership and communication are vital.

2.2.4 CONTROL

Enables management to identify any deviation and to adjust timeously, and it forces management to review its goals. The goals must be set with reference to specific time periods.

- For example: Have we earned the projected fee income within the period determined?

Control enables management to identify any deviation, and to adjust timeously, and it forces management to review its goals on a CONTINUOUS basis.

2.3 ATTORNEYS PRACTICE IN THE "ENVIRONMENT"

Attorneys are affected by economic, social and political influences in the environment within which they practice.

FOR EXAMPLE:
Interest rates, investment trends and housing policies will all have a specific impact on the firm. Attorneys also have to deal with market influences, as for example where people marry, die or commit crimes. It is important to remember that the market also includes attorneys' competitors. Thirdly, its internal environment, with its staff and infrastructure also influences the practice of an attorney.

REMEMBER… The four fundamental management actions that form part of the management process are:

- PLANNING
- ORGANISING
- LEADING
- CONTROL.

Attorneys should constantly be aware of the interaction within, and interdependence between, the various components of the environment within which they practice. The attorney who wishes to best position him/herself and to optimise available opportunities should constantly monitor economic trends, market patterns and internal influences within the practice. The practitioner should endeavour to optimally manage the environment within which he or she practices, or otherwise be able to adapt his/her circumstances within that environment timeously and effectively. In applying these principles to be able to position the firm in such manner to create within the attorney's environment new ventures.

2.4 MANAGEMENT IS A PROCESS

It takes a combination of activities to get the work done.

There are four components in the management process:

- Finances
- Human resources
- • Information/ICT solution
- Physical resources.

These components should be integrated through planning, organisation, guidance and control in such a way as to accomplish the attorney's goals.

The attorney who wishes to develop and expand his/her practice must be a manager. Not every attorney will necessarily become the managing partner within his / her firm but will still be required to manage his / her own office within the firm. Moreover, partners should share the responsibility of managing the firm.

	Planning	Organising	Guidance	Control
Human Resources eg. Professional Staff, Secretarial Staff, Receptionist, Messenger, etc.	→			
Financial Resources e.g. Profits/Losses, Bad Debt/Overdraft, Overheads, Cash Flow, etc.	→			
Physical Resources e.g. Offices, Computers, Software, Equipment, etc.	→			**Growth**
Information Resources and Expertise e.g. Legal Knowledge, Data re Market and Clients, Budgets, Enviromental Information, etc.	→			

The Structure and Composition of the Management Environment*

THE FIRM HAS LITTLE OR NO INFLUENCE ON THE MACRO ENVIRONMENT

Micro Environment (Internal)		**Market Environment**		**Macro Environment**
The mission of the firm and its goals	Influences the market through strategy	The market, i.e. Clients, their needs, their financial position and behaviour	Influences the firm directly through market environment, e.g. the influence of taxes on the client's financial position	v Technical v Economic v Social v Physical v Institutional / Political
The firm and management, e.g. marketing management, financial	Direct influence by competitors, client's financial position, etc.	Competitors Opportunities Threats		v International

THE MACRO ENVIRONMENT INFLUENCES THE FIRM DIRECTLY, FOR EXAMPLE THE INFLUENCE OF INTEREST RATES ON FINANCIAL MANAGEMENT OR LEGISLATION REGARDING PERSONNEL MANAGEMENT

2.5 THE BUSINESS AND ETHICS OF BEING AN ATTORNEY

The business of being an attorney is unique. Although the thrust is towards the provision of quality service and the satisfaction of clients' needs, financial success and ultimate GROWTH, the business is nevertheless still conducted as a "professional entity".

The rules of professional conduct should not be seen as a restriction on growth, but rather as a vehicle in promoting the integrity and image of attorneys as being preferred legal advisers.

For the sustained growth of an attorney's business, it is important that the attorneys should hold the practice in high esteem. To be successful, therefore, an attorney must observe the rules of professional conduct.

The attorney as manger leader must direct his/her affairs in such a manner being conscious of their conduct which attract liability, responsibility and accountability.

Goals are like the stars. They are always there. Adversity is like the clouds: they are temporary and will move on. Keep your eyes on the stars! – Byrd Boggett

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